

Rethinking local regulations governing housing production

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Abstract

Two recent trends are creating new opportunities—and new urgency—for empirical research on zoning. First, the past several years have seen a burst of zoning reform experimentation, as more cities and states adopt policies designed to allow higher-density housing by right in places where it was previously limited. Second, the high office vacancy rates resulting from the expansion of work-from-home among white-collar professionals have prompted property owners and policymakers to consider large-scale commercial conversions. We review three areas of zoning that are particularly relevant for current policy debates about relaxing land-use regulations: first, regulations related to housing density and form; second, the regulation of the use of properties, such as residential versus commercial building occupation; and third, policymaker discretion in zoning processes. We conclude by outlining a future research agenda to help planners and policymakers understand what types of regulations help or hinder achieving their goals.

Keywords:

zoning, land use regulations, housing, residential density, commercial conversions, discretionary review

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Section 1) Introduction

When zoning laws first spread across U.S. cities in the early 20th century, public officials argued that regulating land uses and building dimensions could improve public health and increase safety. Planners worried about overcrowding in low-rent tenement apartments and the increasing density of tall buildings, fearing that sanitation and other urban infrastructure could not keep up.¹ One initial purpose of zoning, then, was to separate commercial and residential uses to protect residential properties from the air and noise pollution—as well as the risk of fire—produced by noxious factories and business establishments (Hirt 2014). Setting limits on the height of buildings and requiring setbacks from streets, were similarly attempts to ensure greater light and airflow to residents and their neighbors. In many cases, a key aim was also to divide communities by race and class, pursuing a white supremacist strategy to discourage integration.² But even then, the stated rationale was typically health and safety.³

However, there are fewer obvious connections today between zoning laws (and related land use regulations) and improving public health and safety outcomes. Modern American communities have much better sanitation infrastructure. Moreover, as heavy manufacturing in the U.S. has moved away from the urban core and cleaned up thanks to new technologies and pollution regulations, it is harder to identify the health or safety benefits of separating residential areas from other uses, such as office buildings or light manufacturing. The rationale that local officials and homeowners offer for today's zoning laws are less tied to health and safety, and more oriented towards limiting density, regulating aesthetics, or ensuring physical uniformity with surrounding neighborhoods. Politically influential homeowners advocate for these laws to preserve “neighborhood character” and increase their property values (Fischel 2005).

Zoning texts and maps define which land uses and building forms are allowed “by right,” meaning that they can be approved through ministerial review by planning departments with no public involvement and without discretion by elected or appointed officials. Over time, these by-right zoning laws have become substantially more complex. Regulations have divided communities into increasingly fine-grained districts with complicated use and form rules. They have also come to grant local officials considerable case-by-case discretion when developers and property owners propose development that departs from by-right zoning, in some cases enforcing discretionary review on virtually all projects. Meanwhile, building codes have grown more complex (McLean 2017). Originally designed primarily to protect health and safety (e.g., ensuring proper ventilation and protection from fires), over time government officials have

¹ Coury et al 2022

² The use of zoning policies to segregate communities was one explanation for the introduction of zoning at the beginning of the 20th century, but we do not have the space to delve into this issue in this chapter.

³ One American Planning Association webpage, for example, notes, “The goal of planning is to maximize the health, safety, and economic well-being of residents...” See Cynthia Bowen. “What is Planning?” American Planning Association. Accessed November 23, 2022. <https://www.planning.org/educators/whatisplanning/>.

added more requirements, many aimed at boosting resilience to natural disasters or increasing energy efficiency (Martín et al 2020).

Researchers have written volumes about zoning's implications for housing development and affordability. Empirical studies show that restrictive land-use controls, such as prohibitions on multifamily housing and large minimum lot sizes, limit the creation of new housing in response to increases in demand and potentially constrain economic growth by blocking workers from moving to areas offering emerging opportunities (see Gyourko and Molloy, 2014 for an extensive literature review). Research also suggests that density restrictions heighten segregation and impede lower income families from moving into areas that offer a richer set of resources (Lens and Monkkonen, 2016; Rothwell and Massey, 2010; Trounstein, 2020).

However, much less is known about the impacts of *relaxing* land use regulations, in part because until recently very few localities have made zoning less restrictive. The past several years have seen unprecedented policy experimentation, with dozens of cities and states adopting policies intended to encourage production of smaller, higher density homes, such as accessory dwelling units (ADUs), duplexes, and small apartment buildings (Schuetz 2022a). These policy changes create new opportunities for researchers to investigate the role of zoning in influencing outcomes like housing production and affordability. Importantly, we do not yet know whether relaxing regulations produces an opposite but symmetric effect as tightening them does.

We focus this chapter on three areas of zoning that are particularly relevant for current policy debates about relaxing land use regulations: first, regulations related to housing density and form; second, the regulation of the use of properties, such as residential versus commercial building occupation; and third, policymaker discretion in zoning processes. We conclude by outlining a future research agenda.

Section 2) How do zoning laws regulate housing density and form?

Limits on building size and density are some of the oldest components of zoning. The preamble to New York City's 1916 zoning law begins with the text: "A Resolution regulating and limiting the height and bulk of buildings erected hereafter and determining the area of yards, courts, and other open spaces" (New York City 1916). The most prevalent density restriction in U.S. cities today is based on structure type: single-family homes are allowed by-right on most land zoned for residential uses, while multifamily structures are often either prohibited or require special permission.

In addition to structure type, typical density regulations include dimensional requirements such as minimum lot sizes; minimum depth of front, side, and rear yards around the building

footprint; and maximum building height.⁴ All of these limit development density, typically defined as the number of homes or usable surface area of building space that can be placed on a given piece of land. Other common density regulations include maximum floor area ratios (FAR), which, for example, could allow a property owner to construct either a tall skinny building or a short, wide building on the same parcel, as long as the total built square footage divided by lot area does not exceed a specific FAR. Similarly, simply setting a cap on the number of housing units per acre may allow developers to build homes on small lots while setting aside shared open space (a common approach used in planned unit developments).

Yet critically, local governments typically adopt a *package* of density regulations that interact with one another: the impact of the entire package may be more (or less) restrictive than each regulation considered separately. For example, allowing a high FAR while capping the number of housing units per acre could make developing apartments financially infeasible, as the potential revenue from a few large apartments may be insufficient to cover costs.

Whether limits on building size and density alter what gets built—that is, whether they are binding constraints on new construction—depends on local housing market conditions: particularly land values, the cost of construction, and expected future housing prices (Schuetz 2022a). Intuitively, when land is expensive and zoning rules allow it, developers are likely to use less land per housing unit, such as by placing homes on smaller lots or stacking homes vertically. Yet zoning can limit such options. Many post-World War II residential subdivisions allowed single-family homes on lots as small as 5,000 square feet (roughly one-tenth of an acre). Today, affluent suburbs like Greenwich, CT, require minimum lot sizes of one or two acres in some districts—substantially increasing the land costs associated with each home and limiting overall housing construction, despite the considerable demand (Abbott 2021; Freemark 2022). In rural areas with inexpensive land, one-acre minimum lot sizes may not be a binding constraint.

Construction costs increase with building height (especially over six stories, which typically requires switching from wood frames to steel and concrete construction), so developers generally choose to build low-rise, lower-density structures in places where land is abundant and inexpensive (Hoyt and Schuetz 2020a). Zoning rules that cap building heights at, say, ten stories will be a binding constraint in Manhattan or downtown San Francisco (where there is demand, and associated land values, that justify higher density), but probably not in most suburban areas.

Understanding how dimensional requirements alter housing production is further complicated because these rules interact with other zoning components, especially in the case of multifamily homes. For instance, some Boston-area suburbs require a minimum property area of two acres per housing unit for any multifamily buildings (but not for single-family structures), meaning

⁴ Zoning also regulates building form and appearance through rules related to construction materials (e.g., bans on vinyl siding) or architectural style. These rules can add to construction costs, so are relevant for policy outcomes, but are less common than dimensional requirements, and so are not discussed in this chapter.

that a modest triple-decker would require six acres of land—thus usually making such structures financially infeasible (Schuetz 2008). Off-street parking requirements are a form of indirect density regulation, because they add to per-unit costs: developers must either reserve part of each lot for surface parking or build structured parking, which can easily run \$50,000 per space (Hoyt and Schuetz 2020b). Often jurisdictions set low by-right density limits as a negotiating point to bargain with developers: granting extra density in exchange for concessions, such as dedicated affordable housing or contributions to local infrastructure (Manville and Osman 2017).

Section 3) Regulation of different land use types

As noted, urban scholars have written extensively about the costs of residential density limits, albeit often focusing on individual restrictions rather than the full package of regulations. To date, researchers have paid far less attention to the regulatory barriers that limit how owners can *use* their properties, such as regulations that limit the use of structures on parcels to residential or commercial. Yet such use restrictions may prevent the creation of vibrant, mixed-use neighborhoods and hinder the ability of cities to reinvent themselves and adapt to shifts in tastes and preferences. This issue takes on particular urgency in the post-pandemic world as many offices sit vacant and hotels under-occupied while households in the very same cities cannot find affordable places to live. Although many cities may permit housing to co-locate with commercial spaces in the same or adjacent buildings in their downtown areas, their building codes can still inhibit conversions through, for example, requiring windows in every bedroom, or mandating immediate compliance with accessibility requirements after a use change (Kazis et al., 2021). Plus, many cities prohibit housing in manufacturing zones where hotels are often located, while limiting office and retail space in residential zones.

Use Zoning

Traditional use zoning divides cities into zones that permit only certain uses. Zones may be restricted to a single use, such as residential, commercial, or industrial, or they may allow for a few different uses believed to be compatible. Cities can further segregate uses within these categories (some of which are related to density levels), dividing residential zones into single-family and multifamily, industrial zones into heavy and light manufacturing, and commercial zones into retail and office uses. Indeed, many zoning codes are quite specific about which types of uses are allowed on each parcel.⁵

As noted above, the historical justifications for these regulations are less relevant today, and there are many potential downsides to such restrictions. From a climate perspective, use zoning is unlikely to reduce pollution, it just moves it around. Indeed, separation of uses may lead to longer commutes and more driving, as it requires people to travel longer distances to work, shop,

⁵ Many communities also impose restrictions on how residential space can be used, for instance, by dictating how many people can live in a home of a given size (Bronin 2020; Iglesias, 2003).

and access services (Cervero, 1996). Use zoning can inhibit the innovations made possible by home-based businesses. More fundamentally, zone definitions tend to be static, failing to adapt to shifts in relative demand for one use over another; changes in technology, such as advances that make manufacturing quieter and greener; or preferences, such as renewed appreciation of the convenience, vitality and walkability of mixed-use neighborhoods (Harris, 2021; Hills and Schleicher, 2010).

Use zoning may not only restrict the addition of housing in commercial areas; it may also prevent the introduction of commercial uses into residential communities that can make those areas more livable and accessible. Increasing attention to suburban retrofitting, remote work, climate awareness, and the idea of 15-minute neighborhoods all suggest a growing interest in mixed-use areas where people can live, work, shop, and access services (Steuteville, 2021).

Today's Challenge

A key debate today is how cities can relax use regulations to facilitate conversions of commercial spaces into apartments. Office and retail vacancies remain at high levels, and hotel occupancy rates continue to be below normal levels in many cities (Platas, 2022). Even after the pandemic is truly behind us, demand for such commercial uses seems unlikely to return to previous levels given the flexibility and convenience of working from home. Surveys indicate that businesses do not expect a full return to the office (New York City Partnership, 2021). Business travel may not return to pre-pandemic levels, suggesting depressed demand for hotels. Finally, many brick-and-mortar retailers have seen a reduction in customers due to competition from e-commerce. Meanwhile, residential demand remains strong, and advocates argue commercial conversions could help increase the housing supply. Conversions of older commercial buildings may be cheaper and less environmentally harmful than new apartment construction (Delalic, 2020), and they may invite less NIMBY opposition, given that structures already exist and they have fewer residential neighbors. Further, many recent mixed-use developments, such as those in the Navy Yard in Washington, DC, and the seaport area in Boston, have been highly successful from an urban development standpoint (though they are not as socially or racially diverse as the surrounding cities).

That said, there are reasons to be skeptical of eliminating use zoning entirely. First, cross-use externalities may still be an issue. For example, residential populations may complain about the noise and congestion of commercial activity. Further, different users demand different services, and introducing apartment buildings into commercial districts may require the construction of schools, grocery stores, and other residential amenities.

Regulatory barriers to conversion

Use zoning can be a significant hurdle for conversions. Many hotels, for example, were built in manufacturing districts where residential uses are prohibited (Ellen and Kazis, 2022). To be sure, some cities have made zoning changes to ease the conversion of older industrial buildings into residential lofts, spurring the creation of more vibrant mixed-use neighborhoods. A set of zoning changes and financial incentives encouraged the conversion of over 10 million square feet of office space in lower Manhattan to residential use (NYC IBO, 2018). More recently, the state of California developed a new program, Project Homekey, to facilitate the conversion of hotels into permanent housing for people at risk of homelessness. In its first year of operation, the program created 6,000 housing units, at about a third of typical new construction costs (Newsom 2020; Turner Center, 2020). But new state legislation was required to exempt these projects from local zoning and normal permitting and environmental review processes. The norm in cities across the country remains separation of uses.

Further, some zoning and building codes may set stricter standards for residential buildings than for hotels and commercial buildings. In New York, for example, hotels can be built with 20-foot rear yards, while residential buildings are required to have 30-foot rear yards (Kazis et al., 2021). Another significant issue is that use changes could trigger many new building code requirements, including compliance with more contemporary accessibility rules (Kazis et al., 2021). Older buildings are typically allowed as a preexisting nonconforming use, but only so long as they retain their original use.

Potential Scope

Even if all use restrictions were relaxed, it is unclear how much more housing could be produced. For one thing, most cities have far more land zoned for residential uses than for commercial uses. In 2021, for example, about two thirds of New York City's building space was residential (Ellen and Kazis, 2022). For another, hotels still house leisure travelers (together with some business travelers), and few office firms are likely to go completely remote. Even those headed to three-days-in-the-office schedules may not be able to downsize by a full 40 percent as they are likely to ask more than 60 percent of their workers to be on site on particular days. Ellen and Kazis (2022) estimate that New York City could gain 75,000 homes (a 2 percent increase in the housing stock) if 10 percent of office and hotel space were converted to residential; this is equivalent to about four years of housing construction in the city. Some suburban retail spaces could be converted too: dead malls and shuttered big box stores offer scope for mixed-use redevelopment projects (Dunham-Jones and Williamson 2017; Schindler, 2012).

That said, there has been little analysis of the financial viability of conversions. While some commercial uses (like extended-stay hotels) can easily and cheaply convert to residential uses,

converting office buildings to apartments may be quite expensive given the lack of individual kitchen and bathrooms. Their large floor plates also make it challenging to create modestly sized apartments, though part of this is driven by code restrictions.

Section 4) Discretionary review in the housing development process

As we have discussed, the zoning map—the base of most US cities’ land-use regulations—specifies what uses and building dimensions are allowed by right. Creating and amending zoning maps requires legislative action by local elected officials, such as city councils or county boards (see, e.g., Dong and Hansz 2019; Freemark 2020; Gabbe 2019; Greene and Ellen 2020; Monkkonen 2019; Schuetz et al. 2018; Whittemore 2021).

But many real-estate development projects pass through processes that incorporate considerable discretion beyond ministerial approvals for by-right uses.⁶ These processes, spelled out in local planning regulations, allow landowners to apply to use their property at a higher density or with a different use than allowed by right. (Notably, landowners typically do not need discretionary approvals to use their property at lower densities.) But before they can move forward with their projects, landowners must receive approval from policymakers who use discretion to determine whether to approve a project. Common examples of such discretionary measures include:

- Variances, which typically allow a project to deviate from the by-right form standards.
- Conditional use permits or special exceptions, which allow a landowner to develop a parcel in a way that is listed as acceptable for a zoning district, but which requires additional review because of the perception that that use could produce negative social or environmental effects.
- Developer-initiated rezonings or map amendments, which allow landowners to request that their parcel be changed on the zoning map from one district to another.⁷

For each of these discretionary measures, instead of just the ministerial review required for by-right projects, landowners often must inform neighbors, hold public hearings, collect public input, submit additional documentation and analysis, and discuss plans with local planning agencies. During this process, developers often make concessions, altering designs (such as by

⁶ Another area of discretion that this chapter does not address is uneven enforcement of by-right policies. The local government officials responsible for approving projects may not always follow the letter of the law, instead leveraging day-to-day discretion to enforce only certain rules (Jaffe 1984; McClymont 2011). The degree to which planning staff engage in discretion is unclear (Catney and Hennebery 2012). Biggar and Siemiatycki (2020) find considerable variation in how discretionary choices are executed. The character of by-right zoning enforcement has been barely addressed in the literature, leaving opportunities for further work to understand them. (There is more research on selective enforcement of zoning rules, which is often driven by neighbor complaints.)

⁷ Localities can also rezone parcels without developers requesting changes first. Those sorts of rezonings also involve considerable discretion, but we do not focus on them here as they are typically implemented in anticipation of future development, rather than in response to a landowner’s proposal.

reducing project size) or committing to providing public benefits (e.g., park space or affordable housing). These steps increase project cost and lengthen timelines (Manville et al. 2022)—but allow landowners to use their properties in ways that may better achieve their goals, whether meaning increased profit or higher resident quality of life. In most cases, proposals submitted for discretionary review must ultimately be approved in a vote by one or more public bodies (including planning commissioners and members of boards of zoning appeals), with developer-initiated rezonings almost always involving the local legislature.

Land-use regulations, then, must be evaluated not simply in terms of their by-right allowances, but also in terms of what sorts of divergence from by-right rules they allow through discretionary review.

Scholarship on discretion in land-use regulation

In theory, discretionary measures like variances and conditional uses provide “relief” or a “safety valve” allowing landowners to use their properties despite “practical difficulties or unnecessary hardships” (though financial hardship is inadequate to grant relief; see Reynolds 1999), as long as project plans would not “alter the essential character of a neighborhood” (Fischer et al. 2022). Developer-initiated rezonings are in theory limited to projects that meet the “rational basis” of being consistent with a locality’s comprehensive plan (Mandelker 2016).⁸ Localities are not meant to use discretionary measures to substitute for by-right zoning (Green 1951), but standards for their application rarely have been contested in the courts.

In practice, discretionary review is commonplace in some cities, often because of mandates in the zoning code that projects of a certain scale undergo lengthy processes outside of the by-right code.⁹ For example, of the 50 largest residential projects permitted between 2011 and 2022 in Chicago, only 14 percent passed through the by-right approvals process; the rest received discretionary entitlements before moving to construction.¹⁰ These projects account for 19,000 housing units in total—a substantial share of the city’s overall building activity.

Chicago’s story is common. In Boston, developers apply for zoning variances for a large share of projects (Infranca and Farr 2022); in the Bay Area, most multi-family residential projects must pass through special review before approval (O’Neill et al. 2018; Scheer 2012). The use of these measures may be increasing, in part because localities are not updating their by-right zoning to reflect market conditions (Fraietta 2013)—and because existing homeowners are often hostile to

⁸ The difference between an acceptable developer-initiated rezoning and “spot zoning” that grants developers the unique ability to profit off their land (spot zoning is illegal in many states) is vague and rarely litigated.

⁹ In some cases, even review processes that are theoretically ministerial in nature—like design or site plan review—involve considerable discretion that could delay project approval timelines.

¹⁰ Calculation based on building permit data for new residential construction in Chicago Cityscape, <https://www.chicagocityscape.com/>, as of October 1, 2022. Chicago mandates planned development processes for most large projects. See City of Chicago, “Planned Development Designations,” 2022. Visited October 1, 2022. https://www.chicago.gov/city/en/depts/dcd/provdrs/admin/svcs/planned_developmentdesignations.html

apartments in their neighborhoods (Schuetz 2022a). Localities themselves typically approve proposals submitted to discretionary review, though one reason may be that applicants often hold detailed discussions with planning departments before even applying (Dispensa 2004; Lo and Freemark 2022; Madry 2007; Zhao 2011).

Local governments often encourage or even mandate the use of discretionary processes. And, rather than choosing to advance projects that meet the by-right code, developers often design projects that require discretionary approvals, because they calculate that the added profit from higher density buildings outweighs the additional costs of going through lengthier, more extensive review processes—assuming such proposals are eventually approved. The standard land-use development protocol, then, is mediated through discretionary action. But, as far as we know, there has yet to be a national study of the use of discretionary review.

Effects of discretion on housing availability

The frequent use of discretionary review in the housing development process raises several questions. If both single- and multifamily housing projects required discretionary approval (or both were allowed by right), would developers choose to build a different mix or density of units than we observe with today's often bifurcated process? Or would policymakers be more likely to alter zoning rules to allow more development by right if state governments or courts limited their ability to leverage discretionary processes to extract concessions from developers? To what extent do such processes lengthen project timelines, increase costs, and expose developments to public opposition that reduces overall housing construction, especially in contexts where discretionary project review is mandated? And does discretionary review reinforce inequities by steering projects to certain neighborhoods?

Scholars have begun to take a crack at these questions, though gaps remain. A greater share of developers propose projects that require discretionary review in neighborhoods where development is active, such as gentrifying communities, than in communities with less real-estate market pressure, where by-right projects are more common (Zhao 2011). This suggests that discretionary processes can serve as an outlet to respond to increasing demand—and that by-right densities are inadequate to meet the housing development needs of appreciating neighborhoods. Some residents have been able to leverage the discretionary zoning process by engaging actively in public hearings, often enough to influence local legislators to oppose projects in approval votes (Fischer et al. 2022). These residents are more likely to be homeowners, wealthy, and white, suggesting inequitable outcomes (see this book's chapters on public participation for more details).

Such discretion may also reinforce social ills. Lord and Norquist (2010) show that toxic uses requiring conditional uses, such as trash disposal, are more frequently located in neighborhoods with lower-income residents, suggesting that those residents are less successful in fighting them than people with higher incomes. Historically, Black neighborhoods were more likely to be

subject to environmental injustice (Whittemore 2017). Because discretionary processes allow opportunities for the public to argue against projects, more engaged residents appear to have more sway. One result is that zoning revisions are less common in neighborhoods with more homeowners (Gabbe 2018); developer-initiated rezonings are more likely to be denied for projects for which more residents testify in opposition (Lo and Freemark 2022); and apartment building proposals may be downscaled in response to pushback (Einstein et al. 2019).

Section 5) Topics for future research

Researchers studying zoning often attempt to investigate narrowly focused questions that can be precisely answered through statistical analysis, such as the correlation between minimum lot sizes and the price of newly built homes. Over the past 20 years, multiple data collection efforts have documented allowed uses and standard dimensional requirements across a wide range of geographies (Gallagher, Lo, and Pendall 2019; Glaeser, Schuetz, and Ward 2006; Gyourko, Saiz, and Summers 2008; Mawhorter and Reid 2019). Researchers have used these data to try to pinpoint the impacts of specific rules on housing prices and production. Most rely on surveys of local planners to estimate regulations; these methods may produce inaccurate results (Lewis & Marantz 2019). The National Zoning Atlas is now attempting to collect accurate information on regulations for municipalities nationwide.

In some sense, though, studies that examine individual rules are asking the wrong question. Local governments write zoning as a package of interacting regulations, and for policy outcomes, what matters is the cumulative impact of all rules. How does the set of dimensional requirements, use requirements, and procedural requirements impact what kinds of projects “pencil”? How many units get built? And at what price? The focus on individual zoning rules versus the full package is particularly important as more state legislators and agencies show interest in pre-empting local rules that impede development. If a state were to prohibit localities from adopting minimum residential lot sizes over 10,000 square feet, for instance, would that result in more small-lot homes being built? Or would localities respond by setting lower FARs, eliminating by-right residential construction, or adding discretionary reviews of small-lot homes?

Two recent trends are creating new opportunities—and new urgency—for empirical research on zoning. First, the past several years have seen a burst of policy zoning reform experimentation, as more cities and states adopt policies designed to allow higher-density housing by right in places where it was previously prohibited or allowed only conditionally. Second, the high office vacancy rates resulting from the expansion of work-from-home among white-collar professionals, together with high retail vacancies, have prompted property owners and developers to consider large-scale commercial conversions. Planners and policymakers would greatly benefit from timely empirical research to understand what types of regulations help or hinder achieving their goals.

The most important and time-sensitive questions facing researchers and policymakers include (not ranked by priority):

- How do recent zoning reforms aimed at allowing greater density affect housing production and costs? How do the impacts of zoning reforms vary in different housing market contexts?
- What regulatory and other barriers hinder the conversion of commercial properties and the creation of mixed-use communities?
- How much additional housing could conversions of commercial spaces create?
- Do discretionary review processes reduce overall housing affordability and availability, or alter its spatial distribution, compared to what would be built under a more permissive by-right zoning regime? What channels for discretionary review encourage more development or impede it, and how do those differences play out in different real-estate markets?
- Has the nascent pro-housing movement shifted the role of public involvement in discretionary review processes or impacted decisions by local and state legislatures?

Conducting this research requires overcoming numerous challenges (Schuetz 2022b). Many policy changes are complex and include multiple components, making it difficult to specify targeted outcomes. The timeline for implementing policy changes varies widely, and it may take several years before outcomes are observable to researchers. The impacts of policies will depend on underlying housing market conditions as well as prior policies. Public data sources do not collect information on many of the outcomes of interest. But few localities even measure the complexity or effects of project review processes—let alone in a way that allows comparison between different cities.

Beyond the top priority questions, a broader research agenda should investigate additional topics.

- Density regulation
 - How are local governments responding to state-level policy changes that promote more housing density? Do they comply with the spirit of new state laws, or revise their laws to undermine or limit the intended impacts? How can pro-housing local governments respond to states that inhibit reforms allowing more housing development?¹¹
 - What are the impacts of reforming or pre-empting specific rules related to housing structure type—such as legalizing duplexes or ADUs—in the absence of other changes related to dimensions, like relaxing building height or FAR?

¹¹ See, for example, the state of Florida's recent efforts to block Gainesville's reforms allowing denser housing in single-family neighborhoods. Patrick Spauster. "Florida Republicans Are Fighting Gainesville's Zoning Reform, and Themselves." *CityLab*. October 13, 2022. <https://www.bloomberg.com/news/articles/2022-10-13/florida-fights-gainesville-s-bid-to-end-single-family-zoning>.

- Do incremental, partial zoning reforms make it more or less likely that broader reforms will be adopted in the future? Does moving to form-based codes increase housing production?
- Use regulation
 - What subsidies would be required to create affordable housing through conversions?
 - What cross-use externalities and conflicts emerge in mixed-used neighborhoods, and what strategies can address them?
 - What political coalitions form to support or oppose conversions of commercial buildings to residential uses?
 - What are the challenges and opportunities of converting retail spaces, such as in “dead malls,” abandoned big box stores, or on main street corridors?
- Discretionary processes:
 - Has the use of discretionary processes been increasing over time, and in what ways? Have localities become more or less likely to approve variances, conditional uses, rezonings, or other exceptions to by-right zoning?
 - Do discretionary processes result in highly experienced developers being favored by the approvals system, rather than smaller-scale development firms more likely to be run by people of color?
 - How do the people involved in making discretionary choices related to zoning influence outcomes? Are certain types of decision-makers more likely to support housing development?
 - What motivates local legislatures to pass or reform by-right zoning ordinances in the first place?

Section 6) Conclusions

Our perspective is that state and local zoning policy should allow property owners and developers to build diverse housing types that meet the needs of households of different incomes, sizes, and preferences. That means enabling a variety of structure types and home sizes as well as a variety of neighborhoods, including those offering a mix of residential and commercial uses. Moving forward, using FAR as the sole density regulation would produce less rigid outcomes than “bright-line” requirements such as maximum building heights or minimum setbacks—as long as maximum allowed FARs are not too low. Removing barriers to multi-family housing, or switching to form-based codes, would allow more flexibility in the number of housing units within a building. Such flexibility could reap more diverse, interesting neighborhoods; a 3,000 square foot structure could be designed for one, two, or more households, and be a single story or five stories, depending on the landowner’s preferences.

Given what may be a long-term decline in demand for commercial space and a growing taste for mixed-use communities, we suggest that policymakers scrutinize their regulations and consider

amending them to remove barriers to commercial conversions and mixed-use development. At one extreme, some cities and states might wish to remove use zoning entirely, with the potential exception of zones designated for heavy manufacturing. More modestly, policymakers might consider alternative pathways for older buildings to comply with modern building codes in the event of conversion, perhaps allowing for partial compliance (Ellen and Kazis, 2022). Finally, policymakers may consider easing procedural requirements, like environmental and local community reviews, when a project merely involves a change of use and not a structural change.

States' growing interest in pre-empting certain local regulations, such as by legalizing ADUs or duplexes in all geographies, requires state policymakers to know *which* local rules are effectively blocking development. And yet, given the interactions between different rules and the discretionary nature of modern zoning codes, the biggest challenge to allowing greater density may not be any single rule in the zoning code, but the preferences of nearby residents and their elected officials. Their views are particularly relevant when projects are subject to discretionary review processes. States should require localities to ensure that discretionary review does not overly inhibit the creation of new housing and consider limiting discretion in the case of dedicated, affordable housing. States should also ensure that any processes that involve the public integrate representative perspectives, not just those of wealthy, white homeowners.

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